

Evolve 2.0 Strategy

The Profitability Paradox — FY2025 Strategy
Review

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1. Diagnosis: The Leaky Bucket

The Tech Black Hole

Tech costs are **21% of revenue** (nearly double the 10-12% industry average). We are spending 30% of our engineering budget on "Advanced SaaS" features like Inventory & Tax, which are adopted by only **4%** of our user base. This misallocation is the primary margin killer.

Lending Time Bomb

While lending has a 22% gross margin, our Tier 2/3 expansion is eroding this value. The projected GNPA for these new cohorts is **>7%**. This high default rate effectively wipes out any profit margin from lending after credit loss provisions.

2. The Decision: Unit Economics

Metric	Tier 1 (Metro)	Tier 2/3 (Growth Target)	Variance
Revenue Potential	₹3,400	₹1,450	-57% Revenue
Acquisition Cost (CAC)	₹480	₹720	+50% Cost
Support Cost	1.0x	1.8x	+80% Cost
Payback Period	11 Months	19 Months	+72% Time

Verdict: We cannot scale the current high-touch model to Tier 2/3. We need a fundamental operational reset.

3. The "Smart Scale" Reset



Tech Rationalization

Immediate freeze on "Advanced SaaS".
Redirect resources to Cloud
Optimization and Core Payments. **Goal:**
Reduce Tech Cost to 15%.



"Evolve Lite" Model

Launch a simplified, voice-assisted app
for Tier 2/3. Shift from Field Sales to
Digital Onboarding. **Goal: Lower CAC &**
Support Costs.



Credit Guardrails

Pause Tier 2/3 Lending immediately.
Restrict access to merchants with >6
months history. **Goal: Cap GNPA at 4%.**

4. 3-Year Roadmap to FY2028



Year 1: Stabilize

Kill "Advanced SaaS" & repurpose engineers. Freeze new lending in Tier 3. Layoff bottom 15% sales force.

Year 2: Scale

Launch "Evolve Lite" for mass market. Monetize "Basic Dashboard" at nominal fee. Re-enter Tier 2 lending with sachet loans.

Year 3: Profit

Full Microservices architecture. Data monetization to FMCG brands. Aggressive lending to mature user base.

5. Financial Impact Analysis

8.2%

Target FY2028 Net Margin

How we get there:

+9% Margin: Tech Cost Savings (21% → 12%)

+2% Margin: Reduced Credit Losses (GNPA 3.4% → 2.5%)

Revenue: Growth to ₹2,400 Cr via volume scaling.

6. Execution Risks & Mitigation



Competitor Theft

Risk: PhonePe/GPay stealing share during "Tech Reset".

Mitigation: Keep aggressive updates on Core Payments (98% usage).



Sales Revolt

Risk: Field agents resisting the shift to digital.

Mitigation: Pay higher commissions for retention & cross-sell vs. acquisition.



Lending Trap

Risk: Tier 2/3 defaults spiral out of control.

Mitigation: Implement "T+1 Settlement Lending" (daily deductions).

Thank You